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Case Number: 21SMCV00405 Hearing Date: August 12, 2026 Dept: O

TENTATIVE RULING

August 12, 2026

21SMCV00405 (Scannell, et. al. v.
Samek, et. al.)

RELEVANT BACKGROUND

On March 2, 2021,
plaintiffs Matthew Scannell, individually and as Trustee of the Glenloch
Trust (Plaintiffs) filed their initial complaint against Edward Victor
Samek (Samek), individually and as Trustee of the EVS Trust, established
January 20, 2010, and Does 1- 20.

Plaintiffs filed a first
amended complaint on March 5, 2021, which added Beauty Tree Service and
Maintenance, Inc. as a defendant (Beauty Tree). Plaintiffs filed a second
amended complaint on July 22, 2021, and a third amended complaint on April 11,
2022.

Plaintiffs and Roe 1
filed the fourth amended complaint (4AC) on May 30, 2023, adding Donia Smaili
as a defendant and a cause of action for declaratory judgment against both
Samek and Smaili. On November 21, 2025, Plaintiffs amended the 4AC to name
Wilmington Savings Fund and Change Lending LLC in place of Does 1 and 2,
respectively.

Plaintiffs allege seven

causes of action: (1) Nuisance (against Samek); (2) Negligence (against Samek); (3) Nuisance (against Smaili); (4) Negligence (against Smaili); (5) Violation of Los Angeles Municipal Code §91.7005; (6) Declaratory Judgment; and (7) Trespass.

Background Re: The Five-Year Rule / Settlement

On January 13, 2026, at the Trial Setting Conference and on Plaintiffs' request, the Court found that "the 5-year rule for this matter expires on 03/02/2026," noted that defense counsel would not stipulate to extend it, and set a jury trial for March 2, 2026, with a Final Status Conference on February 24, 2026. (Motion, Ex. A; Escano Decl., ¶¶ 2-3.)

On January 26, 2026, the remaining parties settled at a Mandatory Settlement Conference. The parties entered into a Binding Term Sheet ("BTS") that expressly provides that it is enforceable under Code of Civil Procedure section 664.6 and that this Court retains jurisdiction to enforce its terms. (Escano Decl., ¶¶ 7-9.)

On February 5, 2026, Plaintiffs filed a notice of settlement of the entire case. (Notice of Settlement of Entire Case filed 2/5/2026.)

On February 5, 2026, the Court ordered the following: "A Notice of Settlement of Entire Case has been filed in this case. Take notice that an Order to Show Cause Hearing Re: Dismissal is hereby set on 4/06/2026...The court orders counsel to file any Opposition to the OSC no later than 10 calendar days before the OSC date. If no request for dismissal of the entire action is filed within 45 days of the filing of the Notice of Settlement of Entire Case, the court will deem the settlement to be 'conditional.' If there are no appearances at the OSC hearing, no dismissal filed, nor good cause shown why this action should not be dismissed by the time of the OSC, the court on its own motion shall dismiss this action without prejudice, retaining jurisdiction to enforce the settlement, pursuant to the Notice of Settlement and Code of Civil Procedure, section 664.6 effective 4/06/2026. All previously scheduled hearings in this department are advanced and vacated." (2/5/2026 Order to Show Cause Hearing Re: Dismissal and Order of Dismissal.)

On February 26, 2026, only

Samek signed the Long-Form Settlement Agreement. (Morovati Decl., ¶ 8, Ex. F.) Before the signed LFSA could be returned, Plaintiffs advised that they were making additional edits to the LFSA and would circulate a new document later the same day. (Id., ¶ 9.) That same day, Plaintiffs' counsel told Samek's counsel, "We are making minor revisions to the draft and will circulate an updated version as soon as possible today." (Id. ¶ 9, Ex. G.)

On March 4,

2026, Plaintiffs again advised that they were making further updates to the LFSA and would update the parties "ASAP." In response, on March 5, 2026, Samek's counsel reminded Plaintiffs' counsel that Samek did not waive the 5-year statute and Samek executed the LFSA before expiration of that period. (Id., ¶ 10, Ex. H.)

On March 24, 2026, Samek

filed the instant Motion to Dismiss pursuant to Code of Civil Procedure section 583.310, et seq. In her declaration, Samek's counsel declared that, "Plaintiffs have not provided any further response to Ms. Morovati's inquiry regarding the LFSA, Plaintiffs have not signed the LFSA, have not circulated an updated revised LFSA nor have they filed a dismissal by March 23, 2026, as indicated in the Notice of Settlement." (Id. ¶ 11.)

On March 24, 2026, counsel

for Wilmington Savings Fund Society, FSB, circulated an email to all parties requesting an update on the status of the Long Form Settlement Agreement (LFSA). (Morovati Reply Decl., ¶ 2, Ex. I.)

On March 25, 2026,

Plaintiffs circulated an updated Long Form Settlement Agreement (LFSA) to all parties. Samek has not signed the updated LFSA. (Id. ¶ 3, Ex. J.)

On April 6, 2026, an

Order to Show Cause re: Dismissal came on before this Court. The Court continued the Order to Show Cause Re: Dismissal (Settlement) to August 12, 2026.

INSTANT MOTIONS

On March 24, 2026, Samek filed the instant motion to dismiss pursuant to Code of Civil Procedure section 583.310. Plaintiffs filed an opposition, and Samek filed a reply.

On May 18, 2026, Plaintiffs filed the instant motion to enforce settlement pursuant to Code of Civil Procedure section 664.6. Samek filed an opposition, and Plaintiffs filed a reply.

DISCUSSION

I.

SAMEK'S

MOTION TO DISMISS

Code of Civil Procedure section 583.310 provides: "An action shall be brought to trial within five years after the action is commenced against the defendant." (Code Civ. Proc., § 583.310.) Section 583.360 provides: "(a) An action shall be dismissed by the court on its own motion or on motion of the defendant, after notice to the parties, if the action is not brought to trial within the time prescribed in this article. [¶] (b) The requirements of this article are mandatory and are not subject to extension, excuse, or exception except as expressly provided by statute." (Id., § 583.360.)

"In computing the time within which an action must be brought to trial pursuant to this article, there shall be excluded the time during which any of the following conditions existed: (a) The jurisdiction of the court to try the action was suspended. (b) Prosecution or trial of the action was stayed or enjoined. (c) Bringing the action to trial, for any other reason, was impossible, impracticable, or futile." (Id., § 583.340.)

A settlement of the entire action removes the case from the five-year statute: "Such a settlement renders the five-year limit of section 583 legally irrelevant." (Gorman v. Holte (1985) 164 Cal.App.3d 984, 987.) "[T]he time during which a settlement agreement is in effect tolls the five-year period, for the reason that attempting to bring an action to trial when all issues have been resolved through settlement would be futile." (Canal Street, Ltd. v. Sorch (2000) 77 Cal.App.4th 602, 608-609.)

Here, Samek contends that Plaintiffs failed to prosecute and bring this action to trial within five years of the original filing date. Specifically, the lawsuit was filed on March 2, 2021, and thus should have gone to trial on or before March 2, 2026, pursuant to Code of Civil Procedure section 583.310. Samek asserts that, because Plaintiffs failed to bring the matter to trial before March 2, 2026, the Court must dismiss Plaintiffs' Fourth Amended Complaint with prejudice.

In opposition, Plaintiffs asserts the following arguments: (1) the five-year statute is construed in light of section 583.130's preference for disposition on the merits; (2) a settlement of the entire action removes the case from the five-year statute, citing *Gorman v. Holte* (1985) 164 Cal.App.3d 984, *Schiro v. Curci* (1990) 220 Cal.App.3d 840 and *Malouf Bros. v. Dixon* (1991) 230 Cal.App.3d 280; (3) bringing the action to trial was impossible, impracticable, and futile after February 5, 2026, because the Court vacated the trial date; (4) Samek should be estopped from obtaining dismissal based on the absence of trial that he caused; (5) Code of Civil Procedure section 664.6(f) prescribes what happens when the documentation is not completed, directing that "[t]he court shall exercise its retained jurisdiction if a party files a notice that a written settlement agreement required of all parties was not signed by all parties"; and (6) the requested relief to dismiss this action "with prejudice" is not available under the statutes Samek invokes.

In *Gorman*, the court held that the five-year limit (then Code Civ.Proc., § 583, subd. (b)) is irrelevant to a motion to enforce a prior settlement agreement, reasoning that, when the parties reached a complete settlement in open court, "there remained no issues to be tried" and "a final disposition had been made of the dispute." (*Gorman*, 164 Cal.App.3d at p. 987.)

In *Schiro*, the court stated, "We will follow *Gorman*... we think the fact a settlement is finally executed after the five-year period has run is immaterial... In view of the policy of the law highly favoring settlements ... we think the fact a settlement is finally executed after the five-year period has run is immaterial." (*Schiro*, 220 Cal.App.3d at p. 844.)

The *Malouf* court also relied

on Gorman, stating that, “We also agree with Gorman. Once the parties have stated a complete settlement in open court, the court can assume the matter has indeed been finally disposed. Details of execution may remain, but it is reasonable to assume the matter will not go to trial. If a dispute about the settlement develops, it can be resolved through the streamlined procedure of Code of Civil Procedure section 664.6.” (Malouf, 230 Cal.App.3d at p. 285.)

The Court finds that the Binding Term Sheet executed by the parties prior to March 2, 2026, tolled the expiration of the five-year rule. (See Morovati Decl., ¶ 5, Ex. C; Gorman, 164 Cal.App.3d at p. 987, Schiro, 220 Cal.App.3d at p. 844 and Malouf Bros., 230 Cal.App.3d at p. 285.) The Court is not persuaded by Samek’s attempts to distinguish the cases cited by Plaintiffs. The Court agrees with Plaintiffs that the binding term sheet here is analogous to the settlement that was put on the record in Gorman. (Gorman, 164 Cal.App.3d at p. 987.) Although Samek asserts that he did not waive the five-year rule, the BTS does not condition Samek’s agreement to the settlement on trial occurring before March 2, 2026. (See Morovati Decl., ¶ 5, Ex. C.) Rather, Samek’s counsel states only that the Binding Term Sheet omitted any stipulation to waive or toll the 5-year deadline. (Id.)

Moreover, the Court agrees with Plaintiffs that Code of Civil Procedure section 664.6 is designed, in part, for this situation where the parties agree to a binding settlement but do not enter into a long-form agreement. (See Code Civ. Proc., § 664.6, subd. (e)(1), (f).) The BTS expressly provides that it is enforceable under Code of Civil Procedure section 664.6 and that this Court retains jurisdiction to enforce its terms. (Morovati Decl., ¶ 5, Ex. C; Escano Decl., ¶¶ 7-9.) The Court is not persuaded by Samek’s argument that Plaintiffs have not signed the Long-Form Settlement Agreement and did not file a dismissal by March 23, 2026, because that is a dispute about performance of a settlement, not diligence in prosecuting a lawsuit. (Canal Street, supra, 77 Cal.App.4th at p. 609.)

Accordingly, Samek’s motion to dismiss is DENIED.

II.

PLAINTIFFS’

MOTION TO ENFORCE SETTLEMENT

"If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement." (Code Civ. Proc. § 664.6, subd. (a).)

Here, Plaintiffs motion to enforce settlement is made on the grounds that all parties to this action executed a written Binding Term Sheet resolving all claims (Escano Decl., ¶ 5; Ex. 2; Morovati Decl. Ex. C); the BTS expressly provides that it is enforceable under section 664.6 and that this Court retains jurisdiction to enforce its terms; Plaintiffs have performed all obligations required of them under the Binding Term Sheet to the extent possible without Defendants' signatures on the implementation documents; and Defendants Dina Smaili and Wilmington Savings Fund Society, FSB, have failed to execute the long form settlement agreement, recordable covenant, and recordable easement required to implement the settlement, thereby obstructing performance of the settlement and violating the express terms of the Binding Term Sheet.

Samek opposes the motion on the basis that Plaintiffs have failed to comply with certain conditions precedent and therefore cannot enforce the terms of the Binding Term Sheet against Samek, citing Civil Code section 1436. Specifically, Samek argues that he stated that he would not waive the five-year statute and agreed to the terms of the Binding Term Sheet only under the condition that the matter be resolved, including execution of the LFSA, before the five-year statute expired on March 2, 2026. Further, Samek argues that the BTS expressly states that Samek is not obligated to make any payments to Plaintiffs until the LFSA is executed. (Ex. C, ¶ 11(f).) Samek asserts that, on February 26, 2026, Samek satisfied his obligations by signing the LFSA but that, after Samek signed the LFSA, Samek learned that Plaintiffs intended to make further edits to the agreement. It was not until March 25, 2026, that Plaintiffs circulated an updated LFSA for the parties to sign. Samek concludes that Plaintiffs' failure to execute the LFSA and resolve the matter before the five-year statute was in direct contravention to their agreement with Samek.

The Court notes that Smaili and
Wilmington have not filed any opposition.

The Court agrees with Plaintiffs
that there is an adequate basis to enforce the Binding Term Sheet under Code of
Civil Procedure section 664.6. (Code Civ. Proc., § 664.6.) All parties to this
action executed the written Binding Term Sheet resolving all claims (Escano
Decl., ¶ 5; Ex. 2; Morovati Decl. Ex. C). The Binding Term Sheet expressly
provides that it is enforceable under section 664.6 and that this Court retains
jurisdiction to enforce its terms. (Id.) Plaintiffs have performed all
obligations required of them under the Binding Term Sheet to the extent
possible. (Escano Decl., ¶¶8-11). Although Samek contends that his agreement
was conditioned because he did not waive the five-year rule, the Binding Term
Sheet does not condition Samek's agreement to the settlement on trial occurring
before March 2, 2026. (Escano Decl., Ex. 2; Morovati Decl. Ex. C).

Additionally, the Court is not
persuaded by Samek's argument regarding obligations to make payments under
section 11(f) of the Binding Settlement Agreement. (Id. § 11(f).) As Plaintiffs
point out in reply, Samek's interpretation would make section 664.6 unavailable
in the very circumstance the statute exists to address. Also, the BTS forecloses
Samek's interpretation, as section 11(b) provides that the settlement may be
enforced under breach-of-settlement principles and section 664.6, and section
12 provides that both the BTS and the long-form settlement are enforceable
under section 664.6, with jurisdiction retained. (Id., § 11(b), 12.)

Accordingly, Plaintiffs' motion to
enforce the settlement is GRANTED.

Plaintiffs' counsel to give notice.